2006, the Hyde Act was passed by the US Congress which led to the amendment of the US Atomic Energy Act. The next breakthrough came in 27 July 2007 when the 123 Agreement was signed by India and the United States outlining the terms of nuclear trade between the two countries. On 1 August 2008, International Atomic Energy Agency (IAEA) cleared India-specific Safeguards Agreement that defined the level of supervision of civilian plants. The Nuclear Suppliers Group (NSG) waiver came ultimately after intense negotiation among its 45 members to allow nuclear trade with India on 6 September 2008. Ultimately, India and the United States struck the Nuclear Deal on 8 October 2008. As the nuke deal is in place now, India can formally begin trade in civilian nuclear technology while continuing its nuclear weapons programme but expecting severe consequences if it conducts a test in future.[8] The real factor behind the US decision to sign the Nuclear Deal was to balance off China in Asia that would help to maintain its primacy in the region without isolating China. India, therefore, was key to the US game plan. Besides the strategic factor, Washington's decision to upgrade its relation with India was also a result of the growing worldwide acknowledgement of the image of India as a rising power, particularly in economic terms.

With Russia also Dr. Singh's Government tried to work out the glitches involved in the relationship. Some of the irritants in the relationship between Russia and India were related to the pricing and supply of the spare parts and the Intellectual Property Rights (IPRs) issue over the supply of latest armaments by Russia to India. These became the subject matter of a marathon Summit between Russian President Putin and Dr.Singh in New Delhi on 3 December 2004. No positive outcome was visible then until the Putin–Manmohan Singh Summit in December 2005, where some of the glitches were sorted out.

Regarding India's relation with China, she was making a laudable progress and the highlight of the relationship during this period was the Chinese Prime Minister Wen Jiabao's visit in April 2005 and President Hu Jintao's visit in November 2006. Yet irritants still remained centring around issues of unresolved border problems and Chinese policies towards Pakistan.